

Introduction

Local government varies significantly in form and function across the country – provinces have different legislation that defines municipalities and there is variation within provinces based primarily on size. There are different types of governance structures and roles and responsibilities. There are also significant variations in how local government is financed and where and on what they spend their money; therefore, it can be difficult to compare finances among municipalities in Canada because of the different provincially assigned roles and responsibilities, different cost-sharing arrangements, and different types and levels of local services.

Municipal finance is a complex topic. This module is organized to give you an understanding of municipal budgeting and municipal revenues and expenditures, and then to give you a chance to try your hand at balancing the budget in a challenging municipal environment. The module ends with a discussion of key fiscal challenges facing municipalities.

***Click-n-reveal:* What portion of the total household tax dollars collected in Ontario goes to municipal government?**

One-third of Ontario residents surveyed said that municipal governments get between 10% and 19% of all taxes collected in Canada (Nanos, 2018, 2). But the correct answer to the question is that municipalities get 9 cents from every tax dollar paid in Ontario; 44 cents goes to the provinces; and 47 cents goes to the federal government (Johal, Alwani, Thirgood & Spiro, 2019, 15).

Many people feel that this isn't enough. Sixty percent of Ontarians surveyed said that municipal governments should get more of the total taxes collected by all levels of government. (Nanos, 2018, 2)

Topics and Learning Objectives

Topics

- Municipal budgets
- Revenues
- Expenditures
- Capital budgets
- Balancing the budget – case study
- Need for change

Learning Objectives

By the end of this module, you should be able to:

- Explain the importance of the municipal budget and budget process
- Describe the main types of municipal operating expenditures
- Identify the main sources of municipal revenue for operating and capital budgets
- Explain the challenge of balancing a municipal budget
- Assess issues associated with key municipal revenue sources and expenditures
- Identify pressures on municipal finances and options for change

Readings

Reading

Please Note: You can access all non-textbook readings through the One-Stop Course Readings in the Table of Contents in your D2L Brightspace course.

Required

1. Taylor, Z. & Dobson, A. (2020). Power and purpose: Canadian municipal law in transition. IMFG Papers on Municipal Finance and Governance, No. 47. Chapter 5, Finance, pp. 45 – 53.
2. David Miller. (2025). Participant in IMG at 20. Video. Watch from 1:38:42 to 1:46. Note that Miller is contributing to a celebration of the work of the Institute on Municipal Finance & Governance at the beginning and the end of his remarks – please be patient for a minute until he focuses on governance and finance.
3. Please also review pp 97 – 101 in Spicer, Z. Local government and politics in Ontario, Chapter 6. In *The Politics of Ontario*. Collier, C.N. & Malloy, J. (2024). Toronto: University of Toronto Press. Note: you read this in Week 6.
4. Slack, E. (2025). Reflections on municipal finance over two decades and thoughts for the future. IMFG@20.

Supplementary

Kitchen, H., & Slack, E. (2016). More tax sources for Canada's largest cities: Why, what, and how? Institute on Municipal Finance and Governance. (Good summary chart on page 27.)

Rider, D. (2018, February 17). Municipal sales tax remains cities' elusive funding solution. *The Toronto Star*.

What Is a Budget?

A budget is an estimate of revenues and expenditures for a particular period, usually 12 months. But municipal budgets are more than that.

- Budgets are the most important policy document of all levels of government, including local government – they set out governments' priorities and intentions for the coming year(s).
- Municipal budgets are part of a planning and management process. They follow from a strategic vision or set of priorities and reflect the short-term goals established by the local council. They link to an accountability, performance, and reporting process on how resources are used and the associated results and outcomes achieved.
- Budgets are also a key financial management tool of government – they identify proposed expenditures, and they allow for monitoring, accountability, and control of how money was spent and where. Budgets directly affect the tax rate and set out charges such as user fees.

There are two types of municipal budgets – the operating budget and the capital budget. An **operating budget** reflects the costs and revenues associated with the ongoing, regular operations of the municipal services, programs, administration, and governance processes. Operating budgets must be balanced – with expenditures balanced by offsetting revenues – because provincial legislation prohibits municipalities from having an operating budget deficit.

The **capital budget** is for large cost items associated with the development of new municipal infrastructure and assets or the replacement of existing ones. These include buildings, roads, vehicles, flood control infrastructure, and major computer systems. These items may be financed through loans, grants from other levels of government, or reserves that municipalities have accumulated over the years for those purposes. The costs of these items are typically amortized, or spread out over a number of years.

Some municipalities also have **rate supported** programs like water or waste management that are separate from the operating and capital budget. The operational and capital needs of these programs are entirely funded by user charges or rates.

Video

Watch [How Your City Budget Works](#) [3:52], which provides a good overview of the Ottawa city budget.

Municipal Budget Process

Most municipalities have a standard budget process that includes:

- Council-approved guidelines for staff regarding the upcoming budget
- Internal staff process to develop a draft budget
- Budget committee – a committee of councillors who guide and review the development of the budget
- Council's final approval of the budget

While this looks like a clear and tight process, the reality is anything but! Budget processes in large municipalities can take months, often starting in the fall and continuing into the following year. They are complex processes of estimating, forecasting, planning, balancing, and negotiating among many competing and compelling interests.

Residents, community groups, civil society organizations, and businesses can have input on a municipal budget. Often municipalities hold special budget consultations, which provide information on the budget and offer opportunities for community members to ask questions and provide feedback. Community members can also make deputations to committees of council and/or the budget committee and can send written feedback to their councillor or to one of the relevant committees.

Video

The City of Toronto hears hundreds of in-person deputations about its budget each year in addition to written input. Here are two examples of these deputations:

- [Business as Usual Is Not Enough](#), the speaking notes for a deputation from Jasmine Ramze Rezaee, Manager of Advocacy of the YWCA Toronto
- [Toronto Budget Committee Deputation, January 2020](#) [4:33], a deputation from Sonya Yalda from the Toronto Youth Cabinet regarding funding for the TTC

You are encouraged to look at the budget documentation for your local municipality. Most municipalities encourage public engagement and input, and budget material is often available in clear and plain language. Others have the treasurer's report, or a report from a budget committee, which sets out the various challenges and tradeoffs addressed in the budget.

The City of Toronto, and other municipalities, make [budget notes and other materials](#) available to community members for service and program areas – for example, here is one for [Toronto Children's Services for 2020](#).

Local social planning groups, boards of trade/business associations, and residents' associations are some of the groups that pay particular attention to municipal budget processes. You might also look at the websites of some these groups in your municipality to see their coverage and analysis of the most recent municipal budget.

Other Approaches to Municipal Budgeting

The typical approach to budgeting is one where the municipality, with opportunities for some public input, develops the budget, which then moves through the political approval process. Once approved, the budget is administered by staff.

Many municipalities are opening up their budget processes to greater levels of engagement. Calgary has a process that includes surveys and questionnaires to rate city services, and then a vote on priorities. The city also has an app to inform residents about the budget and budget process and to support online discussion.

Some municipalities are going further and trying a different approach to budgeting that features greater engagement in determining the municipal priorities and shaping how the money is spent. Participatory budgeting is different from regular budgeting because it gives community members the power to shape priorities and decide how some of the money is used.

Participatory budgeting was first used in Porto Alegre, Brazil in the late 1980s. This city faced many challenges, including poor infrastructure, poverty, corruption, and limited engagement in local issues. Porto Alegre introduced a process where residents worked together to identify local (community) needs and agree on the priorities, which then became part of the municipal budget. As a result of the process, municipal spending priorities changed, engagement increased, and corruption was reduced because there was greater awareness and accountability for how the money would be used. In addition, a World Bank review found that Porto Alegre had a 20% increase in sewer and water connections and a quadrupling of schools; the UN-Habitat declared participatory budgeting a best practice (as reported in Flynn, 2016).

Since the successful Porto Alegre experience, municipalities in Canada and the U.S. have introduced participatory budgeting. Toronto Community Housing, one of the first public sector organizations in Canada to use participatory budgeting in 2001, now allocates funds in both its capital and operating budget for residents to administer. Since 2005, the City of Guelph grants an amount from the municipal budget to a local organization in support of a resident-led process to determine how the money will be spent. A City of Toronto pilot project in three wards between 2015 and 2017 demonstrated interest in greater levels of engagement in local budgeting and improvements but found that the process required high levels of support and resulted in frustration among residents when there weren't enough resources to meet all the community needs (City of Toronto, 2019).

Sources of Municipal Revenue

There are three main sources of revenue for operating budgets of municipalities in Canada:

Click-n-reveal: **Property taxes**

Property taxes accounted for an average of 48% of municipal revenues in Canada in 2016 (Johal, 2019, 4). In comparison, property taxes represented 32% of operating revenues in the City of

Toronto in 2018 (City of Toronto, 2019, 39).

Click-n-reveal: Transfers, grants, and subsidies from another level of government

Transfers, grants, and subsidies accounted for an average of 19% of municipal revenues in Canada in 2016 (Johal, 2019, 4). In comparison, transfers and grants represented 18% of operating revenues in the City of Toronto in 2018 (City of Toronto, n.d.).

Click-n-reveal: Other municipal revenues, including user fees, fines, permits, or other taxes

Other municipal revenues, including user fees, account for an average of 30% of municipal revenues in Canada in 2016 (a final 3% came from interest and transfers) (Johal, 2019, 4). In comparison, user fees represented 28% of operating revenues; other revenues, including other taxes, fines, permits, and fees were a further 13% in Toronto in 2018 (City of Toronto, n.d.).

Municipalities can't just decide to impose a new tax or fee if they need more money. They must receive permission, through provincial legislation, to introduce the tax or fee. The table below shows the sources of municipal revenue, including property taxes and other "own source" revenues that are permitted in each province. It is important to note that municipalities currently use many but not all of them. For example, Toronto does not have a vehicle registration tax – it was introduced in 2008 and eliminated in 2011 – although the city has the authority to reintroduce one in the future without provincial permission.

Source	BC	AB	SK	MB	ON	QC	NB	NS	PE	NL
Tax on real property	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
User fees	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
License, franchise, permit fees	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fines & penalties	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Business tax		Yes		Yes		Yes				Yes
Accommodation levies & fees				Yes	Yes			Hali-fax	Yes	St. John's

Source	BC	AB	SK	MB	ON	QC	NB	NS	PE	NL
Land transfer tax				Yes	Tor-onto	Yes		Yes		
Vehicle registration tax					Tor-onto					
Billboard tax				Winn-ipeg	Tor-onto					
Electricity & natural gas consumption				Winn-ipeg						
Poll tax										Yes

Source: Taylor & Dobson, 2020, 45 – 46.

Municipal revenues can be **fixed**, where municipalities have little or no control of the revenue, such as grants or transfers from another level of government. Revenues can be **variable**, such as user fees, property taxes, and licenses, where the level of revenue varies based on the environment, the economic climate, or locally determined policy.

Assessing Revenue Services

What Is a Good Source of Revenue?

Click-n-reveal: How do we assess the different revenue sources?

Good sources of revenue are equitable, efficient, reliable, stable, and predictable. We need to ask the following questions:

- Is the revenue source fair and equitable? Equity can be assessed two ways: we can consider horizontal equity, whether people or households with similar income levels or situations are treated the same way, and vertical equity, where we assess whether all people or households are treated the same way and the impact of the revenue tool is equitable across the full population.
- Is the revenue source efficient? Is the revenue source internally efficient to delivery and administer, i.e., it doesn't cost more to administer than the revenue it generates. Is the revenue source externally efficient, with no negative impact on the economy or the community, i.e., it doesn't result in shifts in spending or activity that have negative implications for the community or for the anticipated revenue.

- Is the revenue source matched to the spending? The “benefit principle” stresses the importance of linking the type of revenue source to the type of spending (Kitchen & Slack, 206).
- Is the revenue source reliable, stable, and predictable?
- Is the revenue source visible, transparent, and accountable to the people who pay the tax?

Let’s look at two recent new taxes introduced in the City of Toronto to assess whether they are “good” sources of municipal revenue:

Land Transfer Tax

The municipal land transfer tax was introduced in 2008 in Toronto. It applies to buyers of property in Toronto and is calculated on a five-point sliding scale, based on the sale value of the property. In 2018, the tax brought in \$730 million (a reduction from the \$805 the previous year) or 5.3% of the 2018 operating budget (City of Toronto, 2019, 40). The tax is in addition to a pre-existing provincial land transfer tax.

Click-n-reveal: Is the land transfer tax a good revenue source?

The answer is: not really. The tax on the transfer of land, based on a home sale, has no relationship to the benefits received from the tax – the purchaser does not receive services because the revenues go into the general municipal revenues. The tax applies only to those purchasing property; those who remain in their homes or who rent don’t pay the tax. The tax is not stable – there is no way of predicting the number of homes that will be sold or the tax revenues associated with the sale values of the properties. In addition, the land transfer tax may introduce an incentive for homeowners not to move, which would have implications for the economy, impacting real estate agents, lawyers, movers, home renovators, etc. It is somewhat progressive with five rates of taxation based on a property’s market value.

Vehicle Registration Tax

The \$60/year vehicle registration tax was introduced by the City of Toronto in 2008. The goal was ultimately to “direct the funds to car-related city services” (Lewington, 2008). It was estimated that the tax, which was to be phased in, would bring in \$50–60 million per year. The tax was eliminated in 2011.

Click-n-reveal: Was the vehicle registration tax a good tax?

The vehicle registration tax was fairly predictable and stable. The tax connected with driving a car and use of municipal transportation infrastructure and was intended to be used to support car-related services. At \$60, it would not have an impact on vehicle ownership and it was priced at half

the pre-existing provincial vehicle registration fee. The tax may have increased the incentive for car owners to use transit, but the tax wasn't onerous and any incentive would be limited. The vehicle registration tax was a flat fee that didn't take income into account, although it may have had a greater impact on wealthier households with more than one car. It was easy to collect.

Before we look deeper at the three main sources of municipal revenue, let's review two terms that are used frequently in tax policy discussions.

1. **Progressive taxation** is when the rate of taxation rises with the ability to pay (usually income) – a higher income person would pay a higher tax rate than the rate levied on a lower income person.
2. **Regressive taxation** is when the rate of taxation or the amount of tax remains constant regardless of the ability to pay, with the result that a higher income person will pay a lower portion of their income in tax than a lower income person. As you move through the discussion of the three revenue sources, consider whether they are progressive or regressive.

Property Tax

From their early beginnings to the present day, municipalities have raised most of their revenue through the property tax. The property tax is a tax on real estate, including land and building structures. Originally, funds raised from property taxes were used to pay for local property-related services, such as roads, fire services, and municipal infrastructure. However, over time, as municipalities assumed greater responsibilities, the taxes are now used to support property- and non-property-related services. Property taxes vary depending on whether the property is residential, commercial, industrial, or agricultural.

Did You Know?

“Canada is an outlier among advanced economies in its reliance on property taxes to fund local governments. In 2017, local property tax revenues accounted for 3.2 percent of GDP in Canada, one of only two Organisation for Economic Cooperation and Development (OECD) member nations with a share above 3.0 percent” (Johal, 2019, 5).

Property taxes are paid by property owners, including those who own condominiums. Tenants also pay property taxes as part of their rent, but it isn't clearly distinguished and the “bill” doesn't go directly to them, with the result that they often don't know that they also contribute property taxes. The result is that home and condo owners are generally more interested in and knowledgeable about property tax and municipal issues and have a higher voter turnout in municipal elections than tenants.

Property taxes are the largest source of “own source” revenue for local governments. Their importance in terms of total municipal revenues varies with the level of provincial support for municipalities. Largely, revenue from property taxes must make up the difference between provincial (and federal) grants and

transfers and the cost of municipal services and programs. Some go so far as to suggest that the municipal tax rates reflect provincial policy and support for municipalities.

How Are Property Taxes Calculated?

Property taxes are based on the assessed value of property plus improvements. The responsibility for assessing the value of properties varies province to province. Assessment is a provincial responsibility in Ontario, delegated to a provincial special purpose body, the Municipal Property Assessment Corporation (MPAC).

Every property is identified on an assessment “roll” and bears an “assessed value.” This assessed value determines the way in which the total tax needs of the municipality are apportioned against each property. There are different ways to calculate assessment:

- Traditional – based on depreciated replacement cost
- Market value – based on what it could be sold for
- Actual (current) value – based on rolling average of market value over a pre-determined time period (5 years)

There are substantial variations in the assessed value of similar properties across Canada, based on the frequency of reassessment, the base year, and the different methodologies used. Regardless of the method, it is important that assessed values reflect value relative to similar properties in the municipality.

Video

Everyone has heard of property taxes, but few people properly understand how they are calculated. Watch one of these two short videos to learn more:

- [How Your Property Taxes Are Calculated](#) [3:06] from the City of Ottawa
- [How Do Property Value Assessments Affect Your Municipal Taxes?](#) [1:24] from the Resort Municipality of Whistler

In brief, municipalities apply a levy or tax, called the **mill rate** or **tax rate**, against the assessed value of each property. Property taxes are calculated using the following formula:

Individual property assessment x mill rate = tax payable on a property

1,000

The City of Toronto uses a tax rate that is calculated per \$100 of assessed property value. The mill rate is calculated based on every \$1,000 of property value.

Property Taxes Are Complicated

Property taxes are complicated with many exceptions and special arrangements.

Property Taxes in TWOMOs – Territories Without Municipal Organization

In Ontario, properties that are not part of municipalities still pay a tax called the provincial land tax that is administered and collected by the province.

Property Taxes in Two-Tier Municipalities

In municipalities with two-tier local governments, both the upper-tier and lower-tier governments set mill rates to collect the revenues they each need to balance their budgets. These rates are separately identified on the tax bill so that property owners can see the amount of tax going to each level of municipal government. The taxes are collected by the lower-tier municipality (the area municipality) who distributes the regional portion to the upper-tier municipality.

School Board Assessments

In Ontario, the province levies an education assessment on the property tax to pay for local school boards. This tax is separately identified on the tax bill, collected by the local municipality and remitted to the province.

Non-Residential Property Taxes

Business taxes “can be almost three times higher than residential tax rates” (MileIQ, 2020). The taxes can be calculated using the assessed value of the property, the gross annual rental value, and the square footage of floor space and storage.

Municipal revenues from non-residential property taxes are declining and municipalities try to keep them low to attract new businesses to the municipality. It is estimated that non-residential property tax revenue fell from 41% in 2006 to 36.3% in 2018 of the total revenue of the municipality (Johal, 2019, 17).

In Ontario, many municipalities have been prevented from increasing taxes on certain business property classes in an effort to reduce the tax burden on commercial properties. In 2004, the province introduced a regulation that allowed municipalities to apply a tax increase of no more than one-half of any increase on homeowners to the business and multi-residential classes.

Special Assessment Levies

Provinces allow municipalities to impose special assessments and charges to recover costs, related to local improvements such as streets, water mains, sewers, lighting, and sidewalks. Costs can be apportioned to individual property owners that benefit directly from the improvements.

The *Development Charges Act* permits Ontario municipalities and school boards to impose charges on all types of development that increase the need for local capital infrastructure. Some developments, such as affordable housing, may receive exemption from the municipality for the charges.

Property Tax Exemptions

Some properties are exempt from paying property tax. This includes property owned and occupied by the federal, provincial, or municipal governments; colleges and universities; places of worship and cemeteries; hospitals; and charitable organizations. This represents a huge loss in revenue to local governments since all these properties require municipal services, including water supply, garbage collection, policing, firefighting, etc. Both the provincial and federal governments provide some grants to municipalities in lieu of property tax.

Issues with Municipal Property Taxes

The property tax is one of the oldest forms of taxation. Despite this there have been, and continue to be, many criticisms of property taxes.

Property tax is a highly visible and politically charged tax, and while most property owners have opinions about the tax, in reality there is very limited understanding of property taxes and municipal expenditures. Most property owners contend that property taxes are too high while others argue they are too low and don't raise enough money for the needed services. On the other hand, the tax is invisible for renters, who may have little understanding that they are also contributing to the property tax through their rent.

Property taxes were originally established to support property-related services. Today they are used to support a range of programs, including social services, housing, recreation, health, and culture that are not property related. The tax bears no relation to the use and benefit of these non-property-related services.

Property taxes are regressive. Lower income property owners pay proportionately more of their income in property tax than higher income owners, and seniors and others on fixed incomes struggle with increasing property taxes. A study of 342 Canadian municipalities concluded that "even in municipalities with the least regressive taxes, the lowest-income homeowners paid at least twice the amount of tax per dollar of income in relation to the highest-income homeowners. In some municipalities ... lower-income homeowners had a tax burden four or five times greater than their higher-income counterparts" (Palameta & Macredie, 2005, 18).

The reliance on property taxes serves to distort land use planning and development in municipalities. Municipal zoning and rezoning decisions have a direct impact on property tax revenues, and the need for additional revenues can lead some municipalities to support rezoning applications and new developments.

The tax base or value of a property must be estimated and updated consistently to be able to apply the tax. This can lead to some large changes in assessed value and actual tax (increases or decreases) following a property value reassessment.

Property taxes are not flexible in their application – municipalities have little discretion in the application of the property tax. The tax base is fairly immobile and changes to the tax base, for example through development, are slow and incremental. Finally, property taxes are inelastic – they aren't connected to changes in the need for services and infrastructure.

Nonetheless, property taxes have persisted over the years. They are relatively easy to administer and collect. The taxes relate, at least to some extent, to services to property, including water, sewage, garbage, roads, and transit and they continue to be the main form of taxation that the provinces are willing to let municipalities have.

Grants and Subsidies

There are two types of grants and transfers from other levels of government to local government: unconditional and conditional (or specific purpose grants).

- **Unconditional grants** – The most common grant is a general purpose grant that is calculated on the basis of an objective measure, such as per capita, per household, per kilometre of road. These grants serve to equalize the fiscal capacity of municipalities and to ensure standard levels of service across a province. Municipalities can determine how they spend these funds; there are no conditions on their use.
- **Conditional grants** – These grants tie the expenditure of the grant money to a particular service as determined by the province. Conditional grants generally have three criteria:
 - Money must be spent on the service specified by the province – i.e., childcare, transit
 - The service must be provided according to provincially defined standards or specifications
 - Frequently, some matching municipal funding is required

Conditional grants can be open-ended grants where there are no limits on spending – if the municipality wants to spend more it will be matched by the conditional grant – or close-ended grants where there is a set or predetermined dollar limit on expenditures.

Over the last 40 years, conditional grants have increased and unconditional grants have decreased.

Grants from the Federal Government

Most municipalities cannot receive grants from the federal government without provincial approval; as discussed in Module 6, the *City of Toronto Act* allows Toronto to directly enter agreements with the federal government. Usually federal funding for municipalities flows through the province before it is passed through to the municipalities. There have been examples in the past where provinces have refused to allow the federal and municipal governments to negotiate program grants. For example, in the early 1990s, the province would not allow the City of Toronto to enter into funding agreements with the federal government in childcare and immigration. In the 1970s, Calgary and Edmonton negotiated federal funding for an official plan review, but the Province of Alberta wouldn't allow them to accept it.

Revenue and Tax Sharing Agreements

Some but not all municipalities benefit from long term revenue or tax sharing agreements with their province. These agreements are often unstable and don't promote transparency or clear accountability.

Issues with Grants

Municipalities prefer unconditional grants because they have the flexibility to use the revenue in support of local priorities. Provincial and territorial governments prefer conditional grants because it gives them influence over local spending and priorities, and it can leverage or require federal and/or local matching funds. Provinces retain leadership over the program, but with the arms-length relationship with the municipal service deliverer, the provinces are buffered from issues and operational challenges.

Conditional transfers and grants restrict municipal autonomy. These grants fund the municipal delivery of provincial services with little scope for innovation or local flexibility. There are many conditional grants and few local functions are left untouched, leaving municipalities with limited ability to make choices and set their own priorities. In effect, local governments become delivery agents of the province, providing provincially designated services to provincial standards with tied funding. There is limited opportunity for public participation in discussions of services or priorities for services funded through conditional grants because such decisions may be made by the province without local input.

Accountability is blurred in programs funded by conditional grants. It is unclear who is "responsible" for the service – the municipality delivers and often contributes to the cost of delivering the service; however, the province sets program policy and standards and co-funds the program. The 1995 Ontario Who Does What panel argued for provincial-municipal disentanglement and a clearer approach to funding in an effort to improve transparency and accountability and to ensure that there were sufficient funds identified for municipal services.

In addition, municipalities often complain about the detailed and excessive reporting and performance accountability requirements associated with grant-funded programs. Some municipalities may choose not to participate in conditional grants or don't have the matching funds to participate. Typically, there is no substitute funding available to them.

Neither conditional nor unconditional grants are a stable source of funding. They are subject to unilateral change and elimination by a province, which can put municipalities in a difficult position if residents depend on a service delivered by the municipality that is cut or changed by the province. While it is difficult to end a conditional grant program, provincial governments have balanced their budgets in the past partly by terminating or reducing their portion of cost-shared programs. Tindal et al. (2017, 7–8) describe the Walkerton, Ontario water crisis that resulted in the deaths of seven people and the illness of more than 2,000 residents. The provincial inquiry into the tragedy led by Justice O'Connor identified a number of factors that led to the crisis, including the 1998 privatization of the provincial role to test drinking water, which didn't require the mandatory reporting of positive E.coli water tests, limited provincial inspection programs, the provincial discontinuation of a provincial laboratory testing service available to municipalities in 1996, and reductions in funding for both the Ministry of the Environment as well as funding provided to municipalities related to safe drinking water (CBC, 2010).

On the other hand, some argue that conditional grant funding results in common standards and types of services across the province and that this form of grant is helpful to poorer municipalities that couldn't afford to deliver the programs without provincial funding. It is argued that it is more progressive to pay for services from provincial income tax dollars than regressive property tax dollars.

Municipal Own Source Revenues

Municipalities determine whether they will impose additional charges and fees on residents and businesses in their municipality. User fees and development charges are two examples of those "own source revenues."

User Fees

Municipalities have historically charged user fees for select municipal services. In recent years, both the number of user fees and the related charges have increased, although they rarely represent the true cost of the service. User fees are a political decision and as a result some services, like swimming lessons, have user charges and others, like library services, do not.

User fees now include transit fares, charges for recreation and culture programs, child care and senior's services, use of public buildings and group use of parks, as well as water and sewer charges. User fees are a relatively open area for revenue generation although municipalities find there are limits to the price community members are willing to pay. For example, as transit fares increase, transit ridership decreases; whether this results in an increase in or loss of total revenue depends on the amount of price increase and the level of ridership decrease.

Other Revenues

Municipalities also raise revenues from other charges including licences, permits, fines, development charges, and interest earned.

Development charges have been an important source of revenue for municipalities over the years. Many municipalities have relied on revenues from the development charges to offset some infrastructure costs, and the growth from development is a way to increase the municipal property tax base (Fanelli, 2014).

Municipalities may have been granted some additional revenue generation powers by the province. For example, Sections 262–67 of the *City of Toronto Act* permits the city to impose taxes on alcohol, tobacco, and entertainment. It has been estimated that these new taxing powers might generate \$50 million in additional revenue for the City of Toronto. While these represent new sources of revenue, many argue that more fundamental change is needed to address the revenue challenges of municipalities.

Issues with User Fees

Opinion varies on user fees as a source of revenue for local governments. Some argue there should not be any user fees – that we form governments to organize and provide public services. Others feel that services are best delivered in market relationships by commercial providers to paying customers – they

feel that taxes should be minimized, and everyone should pay for what they use. This approach is criticized because of the impact on low-income families and individuals and for commercializing public services that are provided in the public interest.

A third perspective is that user fees are appropriate where three conditions apply:

- Residents using a municipal facility or service derive a personal benefit without an accompanying public benefit (i.e., golf)
- Where charging a user fee might prompt residents to adopt a more socially beneficial habit (i.e., road tolls that might lead to more car pooling)
- Where inequalities caused by excluding residents because of inability to pay the user fees are in relatively unessential services or activities (like golf!)

User fees raise awareness of the cost of services and can help promote more responsible use of resources. For example, water metering is understood to encourage water conservation and limit misuse. The idea is that those who use the service will pay for the service; this reflects the “benefits principle” of local taxation discussed earlier.

Critics argue that ability to pay is not often considered and that user fees create access barriers for low-income and disadvantaged residents. There are generally subsidies and supports available; however, subsidy application processes can be intrusive, and the number of subsidies may be limited.

Municipal Spending

A lot of attention is given to municipal spending in the operational budget. Discussion of municipal spending is often accompanied by terms like “gravy train” and “out of control spending,” but the story about municipal spending is different. Between 2008 and 2016, per person municipal expenditures in Canada increased from \$1,727 to \$1,799 (in real dollars) or about 4% (Statistics Canada as referenced in Johal, 2019, 9). The City of Toronto reported that it spent “less per resident than 10 years ago” (2019, 7) as is shown in the table below:

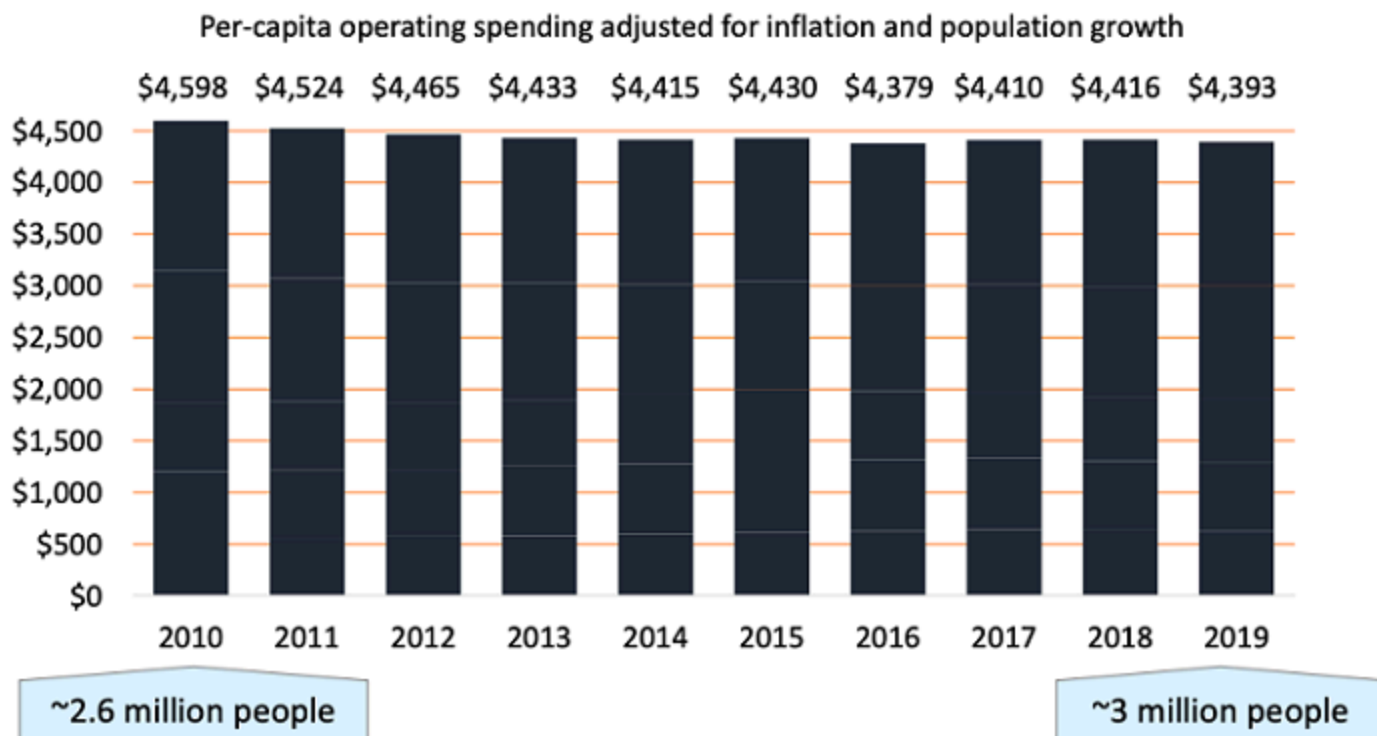


Figure 8.1. City of Toronto per-capita spending from 2010 to 2019

Source: City of Toronto, 2019, 7

Long Description +

The bar graph shows that per-capita spending at the City of Toronto has dropped by about \$200 since 2010 (when adjusted for inflation and population growth).

2010 – \$4,598

2011 – \$4,524

2012 – \$4,465

2013 – \$4,433

2014 – \$4,415

2015 – \$4,430

2016 – \$4,379

2017 – \$4,410

2018 – \$4,416

2019 – \$4,393

Municipal Expenditures

Local government expenditures can be grouped into four main categories:

- Directly controlled expenditures, including municipal programs (not mandated by the province) and municipal special purpose bodies like the Toronto Zoo and Toronto Public Library
- Provincially mandated expenditures, including cost shared programs such as Ontario Works, child care, many public health programs
- Expenditures related to special purpose bodies, such as the TTC and police services
- Capital financing and non-program (i.e., infrastructure) expenditures

We can also understand municipal expenditures by the type of expenditure – staffing/human resource costs, supplies and equipment, and other standard expenditure items. Statistics Canada prepares detailed [summary reports of annual municipal finances by province and territory](#). The summaries show the range of municipal revenues, such as taxes, grants, and other revenues, as well as the range of municipal expenditures, including staffing costs, materials used to provide goods and services, grants, subsidies, and other expenses.

Pause and Reflect

Look at your municipal website and see where your municipality spends its money. Which programs and services are the high-ticket items? Are the expenditures broken down based on cost-shared programs and municipal or discretionary programs? Does the municipality also show the budget expenditures broken down by the main categories – staffing, supplies, and other expenses? How do capital expenditures compare to operating expenses?

What proportion of revenues comes from property taxes, user and other fees, grants, and funding from other levels of government? Many municipalities show their expenditures over time. Can you compare spending this year with previous years? If so, do you notice any shifts in revenue or spending patterns?

Expenditure Pressures

There are many spending pressures on municipalities:

- Urbanization, growth and development, and suburbanization result in demands for new infrastructure as well as more services and new, additional services and programs.
- Globalization and restructuring have contributed to growth in some municipalities, with the related pressures to provide more services to greater numbers of people with diverse needs and interests. It also contributed to the economic decline and population outflows in other municipalities. This brings unique spending challenges that aren't offset by municipal revenues. In 2014, the Town of Springhill asked Nova Scotia to dissolve the town. "It's a town with a decreasing population and we have a senior population and we have a large out migration. We cannot afford to put taxes up any

more to sustain our roads and infrastructure and so on,” said Max Snow, the mayor of Springhill. “...It was a tough, tough decision that we had to come to grips with.” (CBC News, 2014). In 2015, the town amalgamated with the County of Cumberland.

- Service pressures include:
 - The demand for some services is significantly higher than the existing level of services – for example, for affordable housing or childcare – adding pressure for more spending.
 - The costs of providing the existing services are increasing – for example, transit or policing.
 - New services priorities add to the expenditure pressures.
 - Service pressures related to changing demographics – for example, the ageing population will likely result in higher costs related to seniors’ services
- Expenditure pressures can be a result of downloading and divestment without full funding from other levels of government. The City of Hamilton, Ontario, estimated that the average household pays between \$450 and \$475 in additional property taxes to cover the costs of provincial cuts and downloading (Werner, 2020). There is increasing public concern about provincial demands on municipalities that have financial implications (Nanos, 2018). Kingston, Ontario Mayor Bryan Paterson joined 28 other mayors to protest “downloading by stealth” by the province that many fear could end up costing municipalities millions of dollars (Ferguson, 2019).
- Infrastructure pressures result from a gap between the amount needed to update/repair/protect existing infrastructure and the available resources. There are also significant pressures related to the provision of new infrastructure, such as transit. The City of Mississauga was able to maintain their taxes at a “no increase” level for many years because of additional revenues from development. They started to feel pressure a number of years ago when the existing infrastructure needed servicing and/or updating and the revenues from new development that had previously supported this type of expenditure were declining.
- Unexpected costs can result in unplanned, significant spending. The COVID-19 crisis is a recent example. Extreme weather is also an unpredictable and significant challenge for municipal budgets, which will need to cover responses to flooding, snow/ice damage, droughts, damaging storms, and other weather challenges. Municipalities may have reserve funds for unexpected emergencies, but they are insufficient to cover the full costs of the emergency.

Municipalities have two main options in the face of service and expenditure pressures – raise more revenue or cut costs.

Capital Budget

As noted earlier, in addition to operating budgets, municipalities also develop capital budgets for large cost and infrastructure-related expenditures.

Did You Know?

Municipalities own and maintain two-thirds of Canada's public infrastructure (Bazel & Mintz as referenced in Tassonyi & Conger, 2015, 1).

On the expenditure side, capital budgets include the cost of the capital item as well as interest-related costs. The revenue side of the capital budget is different from operating budgets and includes four main revenue sources:

- **Borrowing** – Municipalities are able to borrow money to pay for capital expenditures within limits set by provinces under municipal acts. These provincial rules have their roots in the Great Depression, when provinces introduced borrowing limits and approval processes to prevent municipalities from going bankrupt. Ontario municipalities can hold debt as long as the debt charges – the principal and interest charges – don't exceed 25% of their own source revenues, including property taxes, user fees, development charges, fines, etc. (note that the rules vary from province to province). Most municipalities are very cautious and hold much less debt than the 25% maximum. Some provinces, including British Columbia, New Brunswick, and Nova Scotia have established special purpose bodies to oversee and manage municipal borrowing. Other provinces require prior provincial approval of all municipal debt.
- **Dedicated revenues** – Municipalities develop reserve funds by contributing amounts of money each year or by earmarking user fees toward fund(s) for future municipal infrastructure or other spending. Some municipalities apply fees or levies on new development that is earmarked for growth-related infrastructure. A fund designated for a specific purpose, like water filtration or bridge replacement, is called a restricted reserve.
- **Grants from other levels of government** – The course module on intergovernmental affairs described federal infrastructure programs for replacement and new municipal infrastructure, as well as the federal Gas Tax Fund, which is used to fund transit and social, rural, and green infrastructure (FCM, n.d.). Municipalities may also negotiate funding agreements with provinces for specific infrastructure.
- **Public-private partnerships** – P3s use private companies to finance, build, and often manage municipal infrastructure. The private company provides the financing, bears risks associated with the project, and earns revenues from the infrastructure when completed. The 407 highway in Ontario is an example of a provincial private-public partnership that is now owned privately.

Tax increment financing has been getting attention as another way of financing municipal infrastructure. Property values generally increase as a result of new municipal infrastructure investment. Tax increment financing is a tax on the difference between the pre-infrastructure value of the property and the post-infrastructure value. The tax is separated from the regular property tax and is used to help pay for the infrastructure. This tax is used in many U.S. cities and is authorized in Manitoba, Alberta, and Ontario, although Ontario hasn't developed regulations and it isn't yet in use in that province.

While municipalities are responsible for the majority of the public infrastructure, they face significant challenges in accessing sufficient funding to maintain existing and develop new infrastructure. There are various estimates of the municipal infrastructure gap, or the amount of investment needed to maintain and develop infrastructure, that range from about \$125 billion to over \$200 billion. There isn't much confidence in the capacity of municipalities to address this gap without additional resources. When

asked “Do you think your municipality has enough resources to manage, maintain, and build infrastructure?” 48% of Canadians replied “not enough” (FCM, 2019, 14). There is also concern that the costs of infrastructure will overshadow other municipal services and programs. “Close to 70% of Ontarians are concerned that their property taxes won’t be sufficient to cover the costs of infrastructure (the principal and debt charges) without cuts to existing services and programs (Nanos, 2018, 3).

Balancing the Budget – Case Study

Earlier in Module 1 you were asked which level of government you would give \$1 if you could choose. Let’s assume that you chose to give your \$1 to local government. Where would you allocate it? Child care, seniors’ services, recreation programs for low-income youth, art in the park, economic development initiatives, policing, energy efficient street lights, a new website that supports greater resident engagement ... or maybe you would use it to reduce the costs of borrowing for capital purposes.

Video

The Ontario television station TVO invited two Toronto budget chiefs on a “[political blind date](#)” [28:00]. Councillor Shelley Carroll (past budget chief) and Councillor Gary Crawford (budget chief in 2020) explore the two sides of municipal finances in this entertaining video.

The episode provides insight into the work of municipal councillors and the budget choices and challenges that they face. It is not required, but if you have time, you are strongly encouraged to watch it.

Your Turn

Are you a spender or guardian? Like Carroll and Crawford, councillors and mayors are split between guardians, who want to limit property tax increases to inflation, and spenders, who oppose the idea of an arbitrary limit on increased spending (Nanos, 2018, 3).

Are you a trustee or a delegate? Do you take a long-term perspective and use the budget as a way to move toward an improved quality of life, or are you guided by local communities who want you to vote for their priorities and/or make cuts to balance the budget?

Activity

The Wellesley Institute developed a [Healthy Budget Builder](#) so that you can try to build a budget for the City of Toronto. You get to decide the level of taxation, program priorities, and other investments.

The budget starts at \$0 (this type of budget is called a zero-based budget) and you must build it from the ground up. It is “simpler” than a real budget, but the challenge of balancing the desired mix and level of services against the revenues is just as tough. You will be guided through the process by the interactive tool.

How Did it Go?

Did you find this challenging? You aren’t alone. A number of years ago, in David Miller’s first term as mayor of Toronto, there was a unique public exercise for residents to review an online interactive budget “book” and try to balance the budget to accommodate desires for increased spending in some areas with reduced spending or revenue enhancements in other areas. There were facilitated public meetings to engage residents, working together in similar processes to try and balance the municipal budget. It was an interesting process, which showed how tough it was to develop the municipal budget and balance the interests, revenue sources, and expenditures.

Municipalities – State of Fiscal Crisis?

Most observers agree that municipalities are in a state of fiscal crisis. Why?

Like other levels of government, the cost of providing a unit of service has increased over time. In addition, there are demands for more services as a result of growing urbanization, ageing population and other demographics, and increasing demand for services.

Municipalities have fewer revenue sources compared to the federal and provincial government. Apart from property taxes, most of the own source revenues are ad hoc taxes, fees, or fines; municipalities are not able to access more stable and progressive income or sales tax revenues or introduce their own taxes. Transfers have declined over time and now represent a smaller proportion of municipal revenues than 20 years ago. Downloading, without adequate ongoing funding, has added to the pressure.

Key Point

“There is widespread agreement that municipalities do not have sufficient revenue sources to meet their growing expenditure responsibilities” (Johal, 2019, 9).

The level of funds from current municipal revenue sources don’t match the demands for services or capital spending, and the revenue sources are not always “good” sources – equitable, efficient, reliable, stable, or predictable and consistent with the benefit principle.

Some municipalities face additional challenges. It can be hard for smaller or more remote municipalities to achieve efficiencies and reduced costs from economies of scale. Municipalities can be caught in a catch-22 – they need updated infrastructure to attract development and employment, but they can’t

afford the infrastructure until they have the new development. Municipalities affected by globalization and economic restructuring face additional challenges.

At the same time, pressures for zero tax increases that began in California with Proposition 13 have affected municipalities in Canada. Toronto Mayor Lastman was elected based on promises of no tax increases. Toronto Mayor Rob Ford was elected based on a similar campaign of fiscal responsibility and cost-cutting.

Shifts in the structure of the economy also have significant implications for municipal finance. The “land-based approaches to value which underpin much of the municipal revenue base (e.g., property taxes and development charges) are becoming less relevant in the digital age” (Johal et al., 2019). A study in the Region of Peel highlighted possible implications of the land-based approach to municipal revenues because of limited growth, loss of employment, and the shift away from industry and manufacturing to digital (Johal et al., 2019). The Union des municipalités du Québec estimated that 3,000 businesses were closed in 2016 and those municipalities lost \$3 billion in land value (Johal, 2019, 17).

Municipalities are forced to rely on growth as a way of increasing the tax base (Fanelli, 2014). As commercial and industrial growth slows or stops, residential property owners will be faced with increasing property tax bills that can “disproportionately and regressively impact those least able to afford it” (Johal, 2019, 5).

Provincial Responses

Provinces have responded to the fiscal situation of municipalities in a number of ways:

Tab Panels (expanded):

Tab: Restructuring

Provinces have changed the allocation of responsibilities and associated costs through downloading, uploading, and disentangling initiatives. In principle, most agree that this disentanglement is necessary, but it is not easy to separate and clarify the roles, which may benefit from some level of entanglement. Past experience with downloading, uploading, and disentanglement suggests that it is not revenue neutral and municipalities find that they are saddled with additional, unanticipated expenses.

Provinces have also engaged in restructuring, including amalgamation and the introduction of regional two-tier government, as a way to create a stronger financial base and opportunities for savings and efficiencies. Evidence from past amalgamations is that they do not save money in either the short or longer term. In the short term, there are challenges of harmonization – of bringing all the municipalities in line; having consistent bylaws, policies, and practices; as well as harmonizing rates of pay and benefits for staff. In the longer term, the municipality still faces significant and growing service pressures and other pressures and with the same revenue tools.

Tab: Additional Revenue Tools

Most provincial updates to municipal acts (or similar legislation) have included some (albeit limited) additional revenue generation tools. Most represent fairly limited sources of revenue that are politically difficult to enact. Also, it is very difficult in this political climate for any level of government, municipalities included, to introduce new taxes or fees. Giving municipalities the authority to raise additional revenues is only half the issue – the other half is whether they will use it!

Tab: Reforming Property Tax

From time to time, provinces undertake reform of the property tax system. This can involve changing the basis for property tax assessment, for example, to market value; by changing the property classifications within the residential, commercial, industrial, and agricultural classes; or by regulating the proportion of tax attributed to each class. Ontario made changes in the early 2000s that limited property tax increases for industrial and commercial properties until the classes were reduced to a set proportion of residential tax revenues. These reforms can have positive or negative implications for municipal balance sheets.

Tab: Partnership and Collaboration

The Vancouver and Winnipeg Agreements, discussed in Module 6, were examples of formal funding mechanisms for local government initiatives and programs. The Federal Infrastructure Program, which features tri-level funding for municipal infrastructure, is another example of a collaborative funding mechanism.

Municipal Responses

The tab sections below include details of municipal responses to fiscal challenges. Please click on each tab to review the details.

Tab Panels (expanded):

Tab: Efficiencies

Municipalities need to demonstrate that all available resources are being used well. Municipalities improve efficiency and effectiveness through municipal benchmarking and performance measurement programs and through defined sunset clauses for programs (requiring closure at a certain point in time).

From time to time, municipalities establish panels to review their spending and ensure they are operating as efficiently as possible. The last three Toronto mayors – Miller, Ford, and Tory – initiated efficiency-focused reviews to determine how the municipality could cut costs and save money. Most of the reviews concluded that there wasn't much or any inefficiency left in the system and that further reductions would need to come from program closures and cuts.

Tab: Cuts

The other popular option is to balance the books by cutting programs. Take a few minutes and look at past (or current) budget discussions in your municipality. Committee and council discussions typically highlight the difficulty in identifying potential reductions/cuts and then securing enough votes to approve the cuts. Residents and community groups make deputations in favour of keeping programs that are meaningful to them and councillors are put in difficult positions to then decide on which programs to cut and why. Sixty percent of respondents to an Ontario survey opposed cutting services so that municipalities can freeze property taxes (Nanos, 2018, 3).

Tab: New Sources of Revenue

There have been frequent calls for new sources of revenue for municipalities. A C.D. Howe report, "Running on Empty," recommended that municipalities in Ontario and Alberta have an earned income tax – a tax on employment income of local residents. The Federation of Canadian Municipalities (FCM) is advocating for a permanent expansion to the federal Gas Tax Fund transfer to municipalities. Other suggestions have included a portion of the provincial and/or federal sales tax, or a municipally designated addition to the tax. More than half the Ontario residents surveyed in 2018 supported or somewhat supported a 1% increase in HST if it would be dedicated to municipalities for infrastructure projects (Nanos, 2018, 5). Similar to the C.D. Howe call for a local income tax, there are calls for a portion (called tax points) of the current income tax to be designated to municipalities.

Municipalities in some countries have a land value capture tax. This is a tax on the increase in property values as a result of a public infrastructure investment. An example is putting in a subway, which will increase property values around the stations and along the transit line. The increased land value is not a result of an action or improvement by the land owner but by public investment in infrastructure, and is taxed by the municipality. This would be an additional amount

added to homeowners' property tax bills to reflect the increased value, due to the new local asset.

Tab: Constitutional Recognition

Some link the need to recognize municipalities in the Constitution as a first step in moving toward a more stable and appropriate financial base for municipalities. They argue that constitutional recognition would result in the formal identification and earmarking of municipal sources of revenue from income and sales tax sources. It would also open the door for formal and ongoing funding from the federal government to municipalities.

Tab: New Fees and More Local Taxes

There are also opportunities to get increased revenues from existing taxes and user fees for municipal services. Toronto, for example, removed water and wastewater as well as curbside garbage collection from the property tax bill, instead charging separately for those utilities based on actual consumption. The fees have been increasing over the past years to cover the true costs of the service as well as anticipated costs of associated infrastructure improvements. While not popular, the increases have been framed as consumption-based user fees and there has been limited resistance.

While there is potential to collect more revenue from property taxes, most municipal councils are reluctant to increase property taxes or to propose increases that are higher than inflation. There are real concerns about equity and access for low-income residents who can't afford to pay for services, and fee increase proposals garner protest from others who feel that public services should be public and not subject to charge.

It is quite difficult to add new fees and taxes. Since the 2011 elimination of the vehicle registration tax, a number of councillors have commented that the removal of this tax and the associated loss in revenue was a mistake, yet they haven't moved to reintroduce the tax.

There is need for a range of tax and fee options that recognize the diverse needs, size, and situations of municipalities. For example, a hotel and motel tax (which is strongly opposed by the tourism industry) may bring in revenues in Toronto, Ottawa, and resort communities but would have limited benefits for other Ontario municipalities. Many municipalities don't have public transit services and wouldn't benefit from a transit investment program. User fees bring in less revenue in rural municipalities that have limited municipal facilities.

Tab: Earmarked Revenues

Taxpayers seem to have more tolerance for taxes that are earmarked for specific programs or purposes they support, and municipalities like them because they allow for longer term planning (Kitchen & Slack, 2016). Municipalities have clear accountability to use the revenues for the purpose intended. Toronto introduced a separate levy in 2017 to the property tax bill, called the City Building Fund, and city council voted in 2020 to increase the maximum rate for the earmarked tax from 2.5% to 10.5% by 2025.

Tab: Privatization and Contracting Out

Municipalities have used other strategies to reduce costs, like private-public partnerships; contracting out the construction and delivery of a service; or privatization, where a public service is turned over to the private sector for ongoing service delivery. The City of Toronto has an Office of Partnership, Sponsorship and Donations, established in the early 2000s, to provide opportunities for businesses and other interests to sponsor city services, facilities, or events.

Tab: Alternate Use of Municipal Assets

Municipalities own land and other assets that have been acquired in anticipation of infrastructure or municipal development. In some cases, like the properties expropriated for the Spadina Expressway (that was not completed), the land and buildings are leased and/or used for municipal purposes. Toronto has established a special purpose body, the Toronto Port Lands Company, to manage the land and development in the Port Lands. Some argue that municipalities could do more to realize additional revenues from the lease or sale of municipal assets.

Another Approach

Rather than try to adapt a financial structure that was built in a different time and context, there are growing calls for a rethink of municipal finance. The tools need to change and be applied with greater flexibility to the needs of different municipalities.

Slack and Kitchen (2016) argue that a mix of taxes aligned to different types of municipal expenditures needs to be considered. They describe four types of service-related expenditures:

- Services that offer public goods, like fire protection, parks, and streetlights, that offer collective, community benefits should be funded through a local tax that everyone pays, such as a property tax, income tax, or sales tax.

- There are many public services that offer private benefits, such as water, waste, transit, and recreation services, that should be funded through user fees. Kitchen and Slack argue that user fees can be adapted to address income and equity issues through alignment with provincial income transfer programs.
- Some services, like roads, provide benefits that are enjoyed by residents of other municipalities who don't contribute to the costs of maintaining the roads. Local residents shouldn't be paying for services through property taxes that are used by residents of other municipalities: these spillover services should be funded through provincial transfers/grants to municipalities.
- Redistributive services, like social assistance and social housing, that redistribute income should be funded from income taxes transferred from federal or provincial levels or levied, through constitutional amendment, by municipalities.

Different Financing Tools for Different Services			
Private Water, sewers, garbage, transit 	Public Police, fire, local parks, streetlights 	Redistributive Social assistance, social housing 	Spillovers Roads and transit, culture 
User Fees	Property Tax, Sales Tax	Income Tax	Transfers from Province

Source: Adapted from Kitchen & Slack, 2016, 5

This approach, which includes a mix of revenue sources, including a property tax, improves municipal flexibility to adapt to local needs and conditions. It connects expenditures to programs and services and improves transparency as well as accountability.

Summary

Municipal finance is complicated. This module provided an introduction to the complexity of municipal budgeting and the challenges of balancing revenues and expenditures. The module looked at the main municipal revenue sources and expenditure types and explored ways that they could be better aligned with the current context.

If you have time and would like to learn more, you are encouraged to watch this optional video, [Financing Local Governments in the 21st Century: Going Back to First Principles](#) [33:51]. The video is an excellent overview of municipal finance and augments the content in this module.

Key Takeaways

- Municipal budgets are important policy documents as well as a critical financial management and accountability tool for local government.
- Municipalities are not permitted to have an operating budget deficit – the operating budget must be balanced by revenues.
- Municipalities develop operating and capital budgets. Some also develop rate-supported budgets for services that are funded entirely by user charges or fees.
- Budget processes include opportunities for resident and community input. Participatory budgeting takes this further and delegates authority to community groups to identify priorities and determine how some of the municipal budget will be spent.
- Property taxes; transfers, grants, and subsidies from other levels of government; and user fees, charges, and taxes are the three main sources of municipal revenue. These are subject to provincial legislation and regulation.
- Most provincial grants/transfer payments are conditional and must be spent on what the province specifies.
- The main own source of municipal revenue – the property tax and user fees, charges, and fines – provide little room to manoeuvre. Increases to both generate criticism and resentment in the community.
- Municipalities spend money on provincially mandated programs, municipally determined programs, special purpose bodies, and capital and infrastructure initiatives.
- Municipal capital budgets are different from operating budgets. Municipalities can borrow money for capital expenditures (up to a limit set by provinces). They receive capital grants from provinces or the federal government, engage in private-public partnerships, and establish dedicated reserve funds to “save” for infrastructure replacement or development.
- Municipalities are responsible for nearly two-thirds of public infrastructure in Canada and it is in poor shape. Various estimates suggest that the municipal infrastructure funding deficit is between \$125 and \$200 billion.
- Municipalities face ongoing challenges to balance the budget and provide the services, programs, and infrastructure needed in the community. Various efforts have been made within the current financial context, including restructuring municipalities to ensure a stronger fiscal base; disentanglement; efficiency reviews; increases to charges, fees, and property taxes; cuts; and program closures. These have not been enough and there are proposals to better align the financial tools with the type of spending and to give municipalities access to other stable sources of revenue like sales tax and income tax.

Coming Up Next

Next week we will look at the companion to municipal finances – we will focus on understanding municipal policy and service delivery and how they influence and are influenced by municipal finances.

Discussions and Assignments

Week 8 Discussion

We constantly hear about funding challenges at the municipal level, involving property taxes, user fees, rising costs of providing service, infrastructure funding, privatization, etc., but the issues are complicated and it can be hard for members of the public to understand.

Consider these questions and post your reflection in the Week 8 discussion board:

- Did anything surprise you in the discussion of municipal finances? Why?
- In your opinion, what needs to be done to better position municipalities for a fiscally sustainable and stable future? What two or three changes would you make and why?

Please see the Week 8 discussion topic in your D2L course for further instructions.

Note: You can access the Discussion Forums & Topics from the Communications menu in your D2L course.

Please make sure that your participation in all discussion forums adheres to the Toronto Metropolitan University online etiquette guidelines listed in the Course Outline.

Reminder

- There is no assignment due this week.

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